
FY2027 Annual Sales Plan

JD Sports UK | Financial Year 2026/27

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1. Executive Summary

JD Sports UK targets total revenue of GBP 5.3 billion in FY2027, representing growth of 3.9% versus the FY2026 outturn of GBP 5.1 billion. Like-for-like sales growth is planned at 2.5%, with the balance coming from new store openings (8 new stores) and the full-year benefit of 12 store refits completed in FY2026.

Gross margin is planned at 47.8%, broadly flat year on year. The operating margin target is 9.8%, reflecting continued operational leverage from the store estate and growing online profitability. Online penetration is targeted at 33.0% of total UK revenue, up from 32.0% in FY2026.

Total Revenue Target: GBP 5,300 million

Revenue Growth (YoY): 3.9%

Like-for-Like Growth: 2.5%

Gross Margin Target: 47.8%

Operating Margin Target: 9.8%

Online Penetration: 33.0%

Stock Turn Target: 3.8 times

Capital Expenditure: GBP 185 million

2. Market Context

The UK sportswear market is estimated at GBP 8.5 billion for FY2027, growing at 3.0% to 4.0% annually. JD Sports UK holds an estimated 19.5% market share in sports fashion, making it the clear market leader ahead of Sports Direct (Frasers Group) at approximately 14.0%.

Key market trends include the continued growth of premium running footwear (driven by Hoka and On Running), the expansion of athleisure as a daily dress category, and the increasing importance of sustainability credentials in brand choice. The market is also seeing pressure from direct-to-consumer channels operated by Nike and Adidas, though to date this has primarily affected smaller retailers rather than Tier 0 partners like JD.

3. Channel Strategy

Stores (68% of revenue)

The UK store estate comprises approximately 472 JD fascia stores across five tiers. Sixteen flagship stores, including London Oxford Street, Manchester Arndale, Birmingham Bullring, and Glasgow Buchanan Street, are the primary focus for brand partnerships and exclusive product launches. These stores each target between GBP 25 million and GBP 45 million in annual revenue.

Eight new stores are planned for FY2027, all in the larger format categories. Approximately 10 to 15 underperforming smaller stores will be closed, resulting in a net reduction of 2 to 7 stores overall.

Online (33% of revenue)

The online channel, comprising jdsports.co.uk and the JD mobile app, is planned for GBP 1.75 billion in revenue. Average order value is targeted at GBP 82.00, with a conversion rate of 5.0%. Click and collect is expected to account for 25% of online orders, driving additional footfall into stores. The JD Status loyalty programme, with a

target of 500,000 paying members by January 2027, is a key initiative to improve customer retention and repeat purchase rate.

4. Category Targets

Footwear (55% of revenue - GBP 2.92 billion)

Gross margin target of 46.5%. Footwear is the core of the JD proposition. The category benefits from strong brand loyalty, high average transaction values, and the cultural significance of sneaker drops and limited editions. The running footwear subcategory is the fastest growing segment at 14% year-on-year, driven by technical innovation from Nike, ASICS, Hoka, and On.

Apparel (38% of revenue - GBP 2.01 billion)

Gross margin target of 49.5%. Apparel delivers higher margins than footwear due to the strength of own-brand product (McKenzie, Supply & Demand, Montirex, Pink Soda Sport) and higher initial markups on branded clothing. The athleisure and streetwear segments are the primary growth drivers.

Accessories (7% of revenue - GBP 371 million)

Gross margin target of 51.0%. Accessories deliver the highest margins in the business. The category benefits from strong add-on purchase behaviour, particularly when promoted through mechanics such as 3 for 2.

5. Brand Targets

Nike (40%): GBP 2.12 billion, GM 46.8%

The anchor brand. Tier 0 partnership provides exclusive colourways, first access, and shop-in-shops. Lifestyle product delivers sell-through of 85% to 95%.

Adidas (25%): GBP 1.33 billion, GM 47.5%

Second largest brand. Strength across Originals lifestyle, running, and training. Exclusive colourway access and early delivery on key launches.

New Balance (6%): GBP 318 million, GM 48.0%

Growing at 18% YoY. Premium positioning drives margins above corporate average.

The North Face (5%): GBP 265 million, GM 50.0%

Dominant outerwear brand. Peak sales in autumn/winter. Nuptse jacket is consistently a top 10 SKU.

Own Brand (8%): GBP 424 million, GM 54-58%

McKenzie, Supply & Demand, Montirex, Pink Soda Sport. Growing penetration from 8% to 10% is a key strategic priority for margin improvement.

Other Brands (16%): GBP 848 million

Includes Puma, Vans, Converse, ASICS, Hoka, On, Under Armour, Timberland, Lacoste, Tommy Hilfiger, and approximately 40 other brands.

6. Regional Targets

The business is managed across 11 UK regions. London and the South East together represent 30% of planned revenue at GBP 1.59 billion. The North West, JD's home region with headquarters in Bury, represents 14% of revenue at GBP 742 million.

Scotland, at 10% of revenue or GBP 530 million, has shown recent volatility with some underperformance linked to store closures and stock allocation issues. The target for regional like-for-like growth ranges from 1.5% in mature regions to 4.0% in growth regions where new flagship investments are expected to drive outperformance.

7. Monthly Phasing and Promotional Calendar

Revenue is heavily weighted towards the second half of the financial year, with Q4 (November to January) accounting for 31% of annual sales.

December is the single largest month at approximately GBP 770 million, driven by Christmas gifting and end-of-season full-price trading. August, boosted by the Back to School campaign, is the second largest month at approximately GBP 480 million. The quietest trading period is February and March, with combined revenue of approximately GBP 640 million, representing just 12% of the annual total.

Promotional calendar highlights include the January sales (GBP 313 million in clearance), the Summer Sale in July (GBP 425 million), Back to School in August (GBP 480 million), and Black Friday in November (GBP 560 million).

8. Strategic Initiatives

JD Status Loyalty Programme: 500,000 paying members target, GBP 35 million incremental revenue contribution.

Store Refit Programme: 12 stores to be refurbished in FY2027. Refitted stores historically see 15% to 25% sales uplift in 12 months post-refit.

DC Automation: GBP 15 million investment at Kingwood DC to reduce cost to serve by 12% and improve stock accuracy to 99.5%.

Online Experience Upgrade: GBP 8 million investment in website and mobile app improvements.

Own-Brand Expansion: Increasing penetration from 8% to 10% of revenue through expanded ranges.

9. Financial Summary

Total Revenue: GBP 5,300 million

Gross Profit: GBP 2,533 million
(47.8% margin)

Store Operating Costs: GBP 1,325 million (25.0% of revenue)

Online Operating Costs: GBP 540 million (10.2% of revenue)

Distribution and Logistics: GBP 80 million (1.5% of revenue)

Central Costs: GBP 207 million (3.9% of revenue)

Operating Profit: GBP 381 million
(7.2% margin)

| 10. Risks and Mitigations

Nike Direct-to-Consumer Expansion. Mitigated by Tier 0 agreement and exclusive product access.

UK Consumer Confidence. Mitigated by strong own-brand value proposition and flexible promotional planning.

Supply Chain Disruption. Mitigated by diversified sourcing, increased buffer stock, and dual DC network.

Competitor Activity. Mitigated by brand partnerships, exclusive product, and JD Status loyalty programme.

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